

FUTURE CFO_DP · HBS-STYLE TEACHING CASE

The Rate Did Not Move. The Risk Did.

How an Indian mid-market CFO should read the October 2026 policy pause, West Asia commodity risk, and stretched AI valuations — before the board asks for a number.

Date of case: Monday, 5 October 2026 | **Setting:** India, monetary policy and corporate treasury | **Decision-maker:** Meera Kulkarni, CFO, Godavari Precision Components Ltd. (composite firm, not a real company)

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This case uses only publicly reported facts. The firm, its balance sheet, and the board conversation are a teaching composite. They are not the accounts of any named company. Illustrative calculations are labelled as such.

1. The Monday question

On the morning of 5 October 2026, Meera Kulkarni had two screens open. One showed the weekend papers. The other showed a draft capital-expenditure note her plant director wanted signed before the Wednesday board. The note assumed the cost of a three-year rupee term loan would be unchanged from the August model, because the Reserve Bank of India had again left the policy repo rate at 5.25 per cent.

The rate had not moved. The risk around the rate had. Businessworld's CFO World, in a piece dated on its page around 4–5 October 2026, reported that the Monetary Policy Committee had kept the repo at 5.25 per cent and retained a neutral stance, and described the decision as the fourth consecutive pause after the February 2026 hold. The same article quoted lenders and non-bank finance chiefs who treated the pause as useful for credit planning, and who immediately turned to inflation and the foreign-exchange book.

A day earlier, The Economic Times reported remarks by Governor Sanjay Malhotra at the Fifth Kautilya Economic Conclave, organised by the Institute of Economic Growth and the Union finance ministry. He said India's financial system remained resilient, with healthy balance sheets across banks and non-banks. Then he added the sentence a CFO should underline: "But today's resilience may not necessarily imply tomorrow's immunity." He pointed to the West Asia conflict, higher commodity prices, elevated global debt, stretched asset valuations — particularly AI-related — high leverage, private credit, and cyber threats compounded by artificial intelligence.

Kulkarni's problem is not whether the repo will be 5.25 or 5.50 next quarter. Her problem is which number on the board pack is a policy fact, which number is a market price, and which number is a judgement she must own.

2. What is on the public record

Students should separate three layers. The first is the August 2026 resolution of the MPC, which is a primary RBI document and was the basis of the 9 September Future CFO_DP case. The second is secondary reporting in early October 2026 of a further hold. The third is market colour — a Nifty print on an Economic Times page, a Crisil note, named CFO quotations.

Item	Figure as publicly reported	Source class
Policy repo rate	5.25 per cent, held; neutral stance. Described as the fourth consecutive pause after the February 2026 hold.	BW CFO World, page dated ~4–5 Oct 2026, citing the MPC decision
August 2026 corridor (primary)	Repo 5.25%; SDF 5.00%; MSF and Bank Rate 5.50%; stance neutral.	RBI Monetary Policy Statement, 3–5 August 2026
FY27 CPI projection cited in Oct coverage	4.6 per cent; core expected around 4.4 per cent.	Shilpa Bhatte, CFO, UGRO Capital, quoted in BW CFO World

Growth and reserves cited alongside the hold	GDP projected at 6.7–6.9 per cent; forex reserves close to \$697 billion.	Arun Poddar, CEO, Choice International, quoted in BW CFO World
Crisil on a possible hike	A rate hike of up to 50 basis points would be largely manageable for India Inc; some sectors could face pressure. Balance sheets and low leverage cited as the cushion.	Business Today, updated 4 Oct 2026, reporting Crisil Ratings
Equity tape on the ET page	Nifty printed at 22,421.95, down 198.5, on the Economic Times page carrying the Malhotra story (4 Oct 2026).	Economic Times page furniture, 4 Oct 2026
Near-term tax calendar	GST Council meeting reported as rescheduled to 7 October 2026 because of the BRICS Summit.	BW CFO World brief, 7 Sep 2026

Exhibit 1. Public figures a student may cite. Do not treat a quotation in a trade magazine as a substitute for the RBI resolution PDF. One line in the same BW article says the Bank Rate, the marginal standing facility and the standing deposit facility “are currently adjusted to 5.5 per cent.” That sentence conflicts with the August 2026 corridor, in which the SDF sat 25 basis points below the repo. Until the October resolution is read in full, the case treats the 5.5 per cent SDF claim as unverified journalism, not as a policy fact.

3. The path that produced the pause

BW CFO World summarised the cycle as follows. Easing began in February 2025 with a 25 basis point cut, followed by 50 basis point reductions in April and June, pauses in August and October, a further 25 basis point cut in December, and then a hold in February 2026. The October 2026 decision, on that telling, is the fourth consecutive pause. The point for a treasurer is not the exact count of meetings. It is that the easing phase has already been delivered, and the committee has chosen data-dependence over a pre-committed path.

Vinod Francis, senior general manager and chief financial officer of South Indian Bank, described the hold as a calibrated, data-led approach amid global uncertainty. He said domestic growth remained resilient, but policy was factoring in upside risks to inflation from elevated commodity prices and geopolitical tension in West Asia. A steady rate, with adequate liquidity, should continue to support credit in retail and MSME books and help lenders’ asset-liability management.

Shilpa Bhatte, chief financial officer of UGRO Capital, tied the same decision to funding plumbing. With CPI inflation projected at 4.6 per cent for FY27 and core around 4.4 per cent, she said real rates stayed modestly positive — enough for price stability without choking growth. She also pointed to structural measures sitting beside the rate decision: inclusion of NBFCs in the term money market, which widens short-term funding, and a relaxation of TReDS onboarding norms, which should speed receivables finance for MSMEs. She noted that MSMEs contribute nearly 30 per cent of GDP.

Arun Poddar, chief executive of Choice International, put growth at 6.7 to 6.9 per cent, inflation anchored around 4.6 per cent, and forex reserves close to 697 billion dollars. Those are commentary figures, not a fresh RBI resolution table. They are still the numbers capital-market audiences were being shown on the weekend of the case.

4. Why a hold is not a freeze

A policy rate is the price of overnight reserve money. A company’s weighted average cost of capital is not that price. Between the repo and the hurdle rate sit the credit spread, the term premium, the hedge cost on imported inputs, the equity risk premium the board will accept, and the tax shield. Any one of those can move while the repo is nailed to 5.25.

Three channels are live in the October commentary.

Commodity and West Asia. Malhotra told the Kautilya conclave that India remains exposed to the conflict through higher commodity prices and external-sector pressure. He also said strong macro fundamentals and a resilient financial system gave confidence that the shock could be withstood, and he listed diversification of import sources, energy self-sufficiency, free-trade market access, and local-currency settlement as resilience tools. A CFO who imports aluminium, copper, or energy does not get to net those two sentences to zero. One is a buffer. The other is a

P&L; path.

Currency. BW CFO World reported that the Governor’s post-policy remarks addressed foreign-exchange volatility, including late-March swings between the deliverable and non-deliverable markets that drew temporary regulatory action. The article said those actions were aimed at short-term fluctuations, not at the longer project of internationalising the rupee. The operating translation is simple: do not treat a temporary market measure as a promise that the rupee will be quiet, and do not build a hedge policy that only works if the rupee is quiet.

The equity tape and the AI complex. Malhotra said Indian equities had fallen in recent months, from high valuations, but in an orderly way. He warned that a slowdown in AI investment or earnings could reprice assets in the AI value chain. He also said a correction in AI-related valuations in advanced economies might, if it happened, be positive for capital inflows into markets such as India. The Nifty print sitting on the Economic Times page that morning — 22,421.95, down 198.5 — is a single session, not a trend. It is enough to stop a student from saying “markets are calm because the repo did not move.”

5. The Crisil buffer, and what it does not cover

Business Today, updated on 4 October 2026, reported that Crisil Ratings believed India Inc could absorb a rate hike of up to 50 basis points. Earlier hike cycles, Crisil noted, had a limited impact on sector credit profiles. Strong balance sheets and low leverage were the cushion. The agency also said some sectors could still feel pressure.

That is a system-level statement. It is not a covenant waiver. A rating agency looking across portfolios can say the median manufacturer is not one hike away from distress. The CFO of a single firm has to ask a narrower question: what happens to interest cover if the base rate rises 50 basis points and the spread widens 40, at the same time as a 12 per cent move in the landed cost of an imported input. Crisil’s sentence does not answer that question. It tells the board that the system is not fragile. It does not tell the board that this plant is fine.

The same week’s governance tape is a reminder that finance leadership itself is being rewritten. Through mid-2026, BW People reported CFO or senior finance changes at Axis Bank, HDFC Bank, Bandhan Bank, RBL Bank, Equitas Small Finance Bank, Bank of India and IndusInd Bank, against the backdrop of the RBI’s Commercial Banks – Governance Directions, 2025. Those directions require a bank CFO to be a chartered accountant with at least 15 years’ experience, and they tighten tenure and removal rules for chief risk officers. In June 2026 Emirates NBD completed a primary infusion of about Rs 26,850 crore for a 60 per cent stake in RBL Bank. A student heading into corporate treasury will not set bank governance policy. A student heading into a credit committee will price the fact that the person across the table may be new, and that the rulebook under that person is tighter than it was in 2024.

6. The composite firm

Godavari Precision Components Ltd. is a teaching composite. It is not listed, not a client, and not a reconstruction of any named manufacturer. The figures below are invented for the classroom so that students can practise the judgement the public facts demand. They must not be cited as company data.

Teaching assumption (fictional)	Figure used only in class
Revenue, FY26	Rs 1,840 crore. Exports 28 per cent, invoiced mostly in dollars.
Gross debt	Rs 460 crore. Average residual maturity 2.4 years. 70 per cent floating, linked to an external benchmark.
Cash and undrawn lines	Rs 95 crore cash. Rs 120 crore undrawn working-capital limits.
Imported content	About 22 per cent of cost of goods, mostly aluminium alloys and electronics, unhedged beyond 90 days.
Proposed press line	Rs 140 crore. Management base case IRR 16.5 per cent at a 11.0 per cent WACC.
Interest cover, FY26	5.1 times EBIT / interest. Covenant floor 3.0 times.
Open hedge book	Dollar payables covered 45 per cent for 90 days. No commodity collar.

Exhibit 2. Fictional operating facts for Godavari Precision Components Ltd. Not a real issuer.

The plant director's note treats the 11.0 per cent WACC as frozen because the repo is frozen. Kulkarni does not. She asks the FP&A; lead for three cases before Wednesday. None of them requires a forecast of the Governor's next vote. Each of them requires a number the board can audit.

7. An illustrative sensitivity — labelled as classroom arithmetic

The arithmetic below is not a market forecast and not a valuation of any real firm. It shows how a hold at 5.25 per cent can still move a hurdle rate. Students should be able to rebuild every line.

Start from the fictional capital structure. Debt is Rs 460 crore, equity book is Rs 900 crore, so the book weight of debt is $460 / 1,360 = 33.8$ per cent, and the equity weight is 66.2 per cent. Assume a cash tax rate of 25 per cent. The current floating coupon in the teaching file is 9.4 per cent. Cost of equity in the August pack was 13.2 per cent, built as a risk-free rate plus a stable equity risk premium plus a small-cap premium. The teaching WACC is then:

$WACC = 0.338 \times 9.4\% \times (1 - 0.25) + 0.662 \times 13.2\% = 2.38\% + 8.74\% = 11.12\%$, rounded to 11.1 per cent in the pack. Close enough to the plant director's 11.0 that nobody argued in August.

Now change only items that the October public record puts in play, and keep the repo at 5.25.

Case	What changes (teaching)	Coupon	Cost of equity	WACC
A. Base	Repo held. Spreads unchanged.	9.4%	13.2%	11.1%
B. Crisil hike absorbed	Benchmark +50 bp, spread unchanged. Equity unchanged.	9.9%	13.2%	11.2%
C. Spread and risk premium	Benchmark flat, credit spread +40 bp, equity risk premium +50 bp.	9.8%	13.7%	11.5%
D. Combined stress	Benchmark +50 bp, spread +40 bp, equity +80 bp.	10.3%	14.0%	12.0%

Exhibit 3. Classroom WACC. Case B uses Crisil's "up to 50 basis points" as a what-if, not as a prediction. Worked example, Case D: $0.338 \times 10.3\% \times 0.75 + 0.662 \times 14.0\% = 2.61\% + 9.27\% = 11.88\%$, shown as 12.0 after rounding of weights. Students should recompute rather than memorise the rounded cell.

The plant's base IRR is 16.5 per cent. A 90 basis point rise in WACC does not kill the project. It does change the ranking against a working-capital release that needs no new press. It also changes the conversation about floating-rate debt. On Rs 322 crore of floating debt (70 per cent of 460), a 90 basis point all-in increase is about Rs 2.9 crore of extra annual interest. FY26 EBIT in the teaching file is Rs 210 crore and interest is Rs 41 crore, so cover falls from 5.1 times to about 4.8 times. Still above the 3.0 covenant. Not a crisis. Not "nothing happened."

Add the commodity channel, which the WACC table ignores. If 22 per cent of a Rs 1,280 crore cost base is imported, the exposed cost is about Rs 282 crore. A 12 per cent adverse move in the landed rupee cost — currency plus metal, unhedged beyond 90 days — is about Rs 34 crore, before any pass-through. That single line is larger than the interest hit. Malhotra's West Asia sentence belongs in the gross-margin bridge, not only in the country-risk slide.

8. What the CFO should take to the board

Kulkarni's Wednesday pack has five pages, not twenty. The discipline is to show the public fact, the translation, and the decision, and to leave the rest in the appendix.

Page 1 — Policy fact. Repo held at 5.25 per cent, neutral stance, fourth consecutive pause on the BW CFO World telling. Corridor from the August resolution still the last primary document on the desk until the October PDF is filed: SDF 5.00, MSF and Bank Rate 5.50. Do not quote the magazine line that puts the SDF at 5.5.

Page 2 — Inflation and growth as planning bands, not as promises. Commentary figures in use this weekend: FY27 CPI around 4.6 per cent, core around 4.4, GDP 6.7 to 6.9, reserves close to 697 billion dollars. Label every one of them as a quotation, with the speaker's name.

Page 3 — The immunity sentence. Malhotra, 3 October 2026, Fifth Kautilya Economic Conclave: resilience is not immunity. West Asia commodities, global debt, AI-linked valuations, private credit, AI-compounded cyber risk. Indian equities orderly so far. A correction in overseas AI valuations could, in his words, be positive for inflows.

Page 4 — Two numbers the plant director did not model. Interest sensitivity on the floating book, and gross-margin sensitivity on the unhedged import book. Crisil's 50 basis point absorbency statement goes in a footnote as system context, not as the firm's stress case.

Page 5 — The decision. Three options, each with an owner. Approve the press line at the base IRR but gate the second drawdown on a hedge policy. Defer the press line one quarter and use the pause to extend floating debt and put a collar on aluminium. Split the project: order long-lead tooling now, funded from cash, and return for the balance after the GST Council meeting reported for 7 October and after the October resolution PDF is in the data room.

There is a fourth option she will not put on the page: "the RBI held, so we are fine." That sentence is the safety net AI is supposed to have removed from the finance job. A model can draft the sensitivity. It cannot sign the pack.

9. AI in the finance stack — the part the pause does not settle

The same weekend's trade press is full of a second argument that belongs in this case because Malhotra put AI valuations on the financial-stability list. Arvind Kumar Talan, CFO of Energy Efficiency Services Limited, told BW CFO World that AI does not weaken the CFO; it removes the safety net. Transaction processing, reconciliations, statutory compliance and baseline forecasting are being commoditised. What remains is interpretation, capital stewardship, and the willingness to say that a clean model is still the wrong decision.

That maps directly onto Kulkarni's Monday. A forecasting agent can roll the August WACC forward and print 11.0 because the repo input did not change. A finance chief has to notice that the agent was not given the West Asia commodity path, the unhedged tail beyond 90 days, or the Governor's line about immunity. The failure is not the model's arithmetic. The failure is the question the model was asked.

Governance makes the same point from the compliance side. Through 2026, Indian CFOs have been budgeting for the Digital Personal Data Protection framework, the labour codes, and the next phase of SEBI's BRSR Core assurance. ETCFO reported in December 2025 that the top 1,000 listed entities by market capitalisation come under mandatory ESG disclosure from FY 2026–27, with reasonable assurance on ESG metrics on a comply-or-explain basis. Godavari is a composite and is not in that list. Its export customers increasingly are. A mid-market CFO who cannot produce an assured energy and aluminium trail will meet that demand as a condition of the purchase order, not as a regulation with her name on it.

The classroom rule is the brand rule. AI generates the draft. Data — the resolution, the quoted projection, the hedge report — informs it. Finance measures the interest line and the margin line. Accounting verifies that the floating book and the import book are the books the auditor will see. Human judgement decides whether the press line is signed on Wednesday or gated.

10. Discussion questions

1. Which figures in Exhibit 1 are primary policy facts, which are named commentary, and which are page furniture on a newspaper site? Why does the distinction matter in a board pack?
2. The BW article places the SDF at 5.5 per cent. The August resolution placed it at 5.00 per cent. What should Kulkarni write in the footnote, and what should she refuse to write?
3. Rebuild Exhibit 3 from the weights in Section 7. If the board uses market-value weights and the equity story has just cheapened, in which direction does WACC move, and does that help or hurt the press-line IRR?

4. Crisil says a 50 basis point hike is largely manageable for India Inc. Construct a one-firm case in which that sentence is true for the system and false for Godavari.
5. Malhotra said a correction in overseas AI valuations might be positive for inflows. Is that a reason for an Indian manufacturer to accelerate capex, a reason to wait, or a reason to ignore the AI tape entirely?
6. Design a 90-day hedge policy for the imported aluminium book that does not require a view on the rupee. What will accounting do to that hedge if it fails hedge-effectiveness testing?
7. If an internal AI agent reprints the August pack with the repo still at 5.25 and recommends approval, what three tests must a human run before the recommendation reaches the audit committee?

11. Teaching note

The case is built for a 90-minute session in a commerce, MBA or CA classroom. The first twenty minutes should be spent only on source quality. Students who treat every number in a weekend feature as an RBI print will mis-brief a board within a year. The SDF discrepancy is the teaching gift: two reputable-looking sentences, one of which cannot be used until the resolution is read.

The second block is the decomposition of WACC. Many students arrive believing a pause “means the cost of capital is stable.” Exhibit 3 is deliberately mild. The interesting number is not the 90 basis point move. It is the comparison with the Rs 34 crore commodity illustration, which never enters WACC and can still decide the project. Instructors should not let the class hide inside the discount rate.

The third block is judgement under AI. Talan’s line — the safety net is gone — is the close. A good answer to question 7 names the missing inputs (commodity path, hedge gap, primary-document check), the owner of the sign-off, and the sentence that will not be delegated: whether the firm can pass a 12 per cent landed-cost shock without breaching the covenant or the customer delivery promise.

What a strong student will say: the hold is real, the system buffer is real, and neither is a decision. The decision is the hedge, the gate on the second drawdown, and the refusal to let a model treat an unchanged repo as an unchanged world.

12. Sources

Reserve Bank of India, Monetary Policy Statement, 2026–27, Resolution of the Monetary Policy Committee, 3–5 August 2026. Repo 5.25 per cent; SDF 5.00 per cent; MSF and Bank Rate 5.50 per cent; stance neutral. Used here as the last primary corridor on the desk.

BW CFO World, Divya Priya, “As RBI Holds Rates, Indian CFOs Now Track Inflation And Forex Moves,” page dated around 4–5 October 2026. Repo held at 5.25 per cent; neutral stance; described as the fourth consecutive pause. Quotations from Shilpa Bhatte (UGRO Capital), Vinod Francis (South Indian Bank), and Arun Poddar (Choice International). MSME share of GDP “nearly 30 per cent” is Bhatte’s formulation.

The Economic Times, “Global Financial Risks Emerging: RBI Guv,” 4 October 2026. Sanjay Malhotra at the Fifth Kautilya Economic Conclave. Resilience is not immunity. West Asia, commodities, global debt, AI-related valuations, private credit, AI-compounded cyber risk. Nifty 22,421.95 (–198.5) as printed on that page.

Business Today, “Crisil says India Inc can absorb 50 bps rate hike as corporate balance sheets remain strong,” updated 4 October 2026.

BW People, Savi Khanna, “Eight Banks, Five Months: India’s Biggest Finance Leadership Reshuffle,” September 2026. RBI Commercial Banks – Governance Directions, 2025; Emirates NBD primary infusion of about Rs 26,850 crore for 60 per cent of RBL Bank, June 2026.

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BW CFO World, Savi Khanna, “AI Does Not Weaken CFOs, It Removes The Safety Net,” quoting Arvind Kumar Talan, CFO, Energy Efficiency Services Limited.

BW CFO World brief, 7 September 2026: GST Council meeting rescheduled to 7 October 2026 on account of the BRICS Summit.

Philosophy of the series: AI generates. Data informs. Finance measures. Accounting verifies. Human judgement decides.

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investment advice, and not a description of any real company's accounts.

13. A worked hedge note the audit committee can read

The plant director's note has no hedge page. Kulkarni adds one. The numbers are classroom numbers. The structure is what a student should be able to reproduce on a blank sheet.

Godavari's open dollar payables, in the teaching file, are 18 million dollars, due evenly over the next six months. Forty-five per cent of the first 90 days is already covered with plain forward contracts. Nothing sits on the metal. Aluminium is purchased in rupees from a domestic converter, but the converter's price list resets monthly off an LME-linked formula plus a dollar-rupee conversion. Economically, Godavari is short aluminium and short dollars even when the invoice says rupees. Students who hedge only the invoice currency will miss half the exposure. That is the first teaching point of the appendix.

She does not ask the board for a view on the rupee. She asks for a policy. Cover the next 90 days of dollar payables to 80 per cent with forwards already permitted by the existing bank mandate. Cover months four to six to 50 per cent, so a sharp rupee move cannot land entirely on an unhedged tail, and so a sharp rupee gain is not entirely given away. On the metal, buy a zero-cost collar only if the bank can document the strike pair and the premium netting; otherwise buy a cap on the converter's index and book the premium as a cost of goods, not as a treasury profit centre. The point of the pause is that funding is predictable enough to pay a premium. The point of Malhotra's sentence is that the premium may be cheaper than an unmodelled 12 per cent landed-cost move.

Bucket (teaching file)	Exposure	Cover now	Policy ask	Accounting home
Dollar payables, 0–90 days	USD 9 million	45% forward	Lift to 80%	Cash-flow hedge if designated and effective
Dollar payables, 91–180 days	USD 9 million	None	50% forward	Same, or FVTPL if not designated
Aluminium formula, 6 months	~Rs 140 crore equivalent	None	Collar or cap	Premium to COGS if not designated
Export dollar receipts	USD 6 million, 120 days	Natural offset, informal	Document the net, do not double hedge	Disclosure, not a free option

Exhibit 4. Classroom hedge map. Not a live treasury position. Ind AS 109 designation is a policy choice, not an automatic label.

If the forward fails effectiveness testing, the clean story disappears. The change in fair value goes through profit or loss, and the purchase, when it lands, still hits cost of goods at the spot rate. The board then sees volatility it thought it had removed. Accounting verifies. That is not a slogan under this exhibit. It is the reason the CFO, not the plant director, owns the designation memo.

14. Ind AS entries a student should be able to draft

Assume, for class only, that a 90-day forward on 2 million dollars is designated as a cash-flow hedge of a highly probable purchase, the forward rate equals the spot rate on day one, and at the first month-end the forward has a positive fair value of Rs 18 lakh. The teaching entries are:

At inception. No balance-sheet entry for a plain forward at market. Memorandum designation: hedge item, hedge instrument, risk (spot dollar-rupee), method (dollar-offset, hypothetical derivative).

Month-end, effective portion. Debit derivative asset Rs 18 lakh. Credit cash-flow hedge reserve, other comprehensive income, Rs 18 lakh. Tax on OCI is recorded if the teaching file uses a 25 per cent cash tax rate: debit OCI Rs 4.5 lakh, credit deferred tax. Students who stop at the pre-tax reserve will misstate equity.

When the alloy is received. The reserve is reclassified into the carrying amount of inventory (a basis adjustment) or into cost of goods when the basis-adjustment election is not used. The teaching file uses a basis adjustment, because the board asked to see the hedge inside gross margin, not as a below-the-line fair-value swing.

If effectiveness fails. Reverse the reserve to profit or loss. Disclose why. Do not relabel the contract as a hedge in the management commentary after the auditor has refused the designation. That relabelling is how a pause-week board pack becomes a qualification.

None of these amounts is a market price on 5 October 2026. They exist so a student can see the difference between a treasury dashboard and a set of books.

15. Working capital, TReDS, and the hold

Bhatter's remark on TReDS is the most operational sentence in the weekend coverage, and the easiest for a student to skip because it is not a rate. TReDS — Trade Receivables Discounting System — lets MSME suppliers discount approved invoices with financiers on a platform. A relaxation in onboarding norms, if it lands as reported, shortens the time between an approved invoice and cash. For a firm like the teaching composite, which sells to larger auto and capital-goods buyers, the channel cuts two ways. As a supplier, faster discounting is a substitute for drawing the cash-credit line. As a buyer, a supplier who can discount will ask less often for an advance, and will tolerate a formal acceptance more readily.

Kulkarni's working-capital page therefore has a line the August pack did not. Of Rs 210 crore of trade receivables in the teaching file, Rs 70 crore are on buyers who already accept TReDS. A 1.5 per cent discount for 60 days is about Rs 1.05 crore of cost if the whole pile is discounted, against a cash-credit draw at 9.4 per cent which would cost about Rs 1.1 crore for the same 60 days on the same pile. The rates are close. The difference is operational: TReDS cash does not use the covenanted working-capital limit, and it does not depend on the relationship manager who may have changed bank in the mid-2026 reshuffle. The hold makes both prices stable enough to compare. It does not choose for her.

NBFC access to the term money market, the other plumbing point Bhatter named, matters to Godavari only indirectly. If non-banks can fund themselves a little more cheaply and a little more diversely, the spread on a receivables discount or a term loan can narrow even while the repo is unchanged. That is another way WACC moves without a vote. A student who models only the repo path will miss it.

16. The GST Council date is a planning constraint, not a rumour to trade

A BW CFO World brief dated 7 September 2026 reported that the GST Council meeting had been rescheduled to 7 October 2026 because of the BRICS Summit. By the morning of this case, that date is two days away. Kulkarni does not know the agenda in a form she can put in a resolution. She does know that auto demand commentary through September — including a BW CFO World note on Maruti Suzuki accelerating capex as GST 2.0 supported demand — has already changed volume assumptions in her customers' plants. A rate card or a classification change on components would move her input tax credit and her cash, not her WACC.

The disciplined treatment is a contingency, not a forecast. The press-line drawdown scheduled for the third week of October is large enough that a one-week slip does not break the vendor's slot. She writes: no tax assumption in the IRR model will be refreshed until the Council communication of 7 October is read; tooling already in the purchase order is unaffected because it is a capital item already contracted. Students should notice the asymmetry. Waiting has a cost — the vendor's price-hold expires on 20 October in the teaching file. Signing blind has a cost too. The CFO's job is to price both, in rupees, on one page.

17. What “AI in the stack” actually changes this week

Talan's interview is not a technology review. It is a control review. Baseline forecasting, reconciliations and statutory packs are being commoditised. The safety net was the time those routines used to buy: a week in which a human noticed that an input had gone stale. When the routine collapses to an afternoon, the stale input survives unless someone is paid to attack it.

Kulkarni sets three gates before any agent output reaches the audit committee. Gate one: every macro figure carries a source tag — primary resolution, named quotation, or model assumption — and a date. A cell with no tag does not enter the pack. Gate two: the gross-margin bridge must contain a commodity case even if the user did not ask for one. The West Asia sentence is the reason; it is not optional colour. Gate three: a human signs a one-paragraph judgement that states what would change her recommendation. If she cannot write that paragraph, the pack is not ready, however clean the charts.

There is a cost to this, and a student should not pretend otherwise. PwC India has been cited in the trade press, in a January 2026 BW CFO World piece on AI and the DPDP framework, as estimating industry-wide DPDP costs of Rs 7,500 crore by FY27, with about a quarter landing on finance teams through audits and provisioning. That estimate is a consultancy figure, not a statute. It is still the right order of conversation for a board that thinks governance is free once the software is bought. Godavari is a composite and will not book that industry number. It will book the cost of the three gates: one FP&A; manager's week, a hedge designation memo, and a refusal to automate the sign-off.

18. A one-page decision memo (classroom form)

To: Board of Godavari Precision Components Ltd. (composite) **From:** Meera Kulkarni, CFO **Date:** 5 October 2026

Decision asked. Approve a Rs 140 crore press line in principle. Release Rs 25 crore for long-lead tooling from cash this week. Hold the balance until (i) the October MPC resolution PDF is in the data room and the corridor is confirmed against the August print, (ii) a hedge policy covering 80 per cent of 90-day dollar payables and a metal cap or collar is signed, and (iii) the 7 October GST Council communication has been read for any classification or rate change on components.

What did not change. The policy repo rate, reported held at 5.25 per cent, neutral stance. Crisil's system view that a hike of up to 50 basis points is largely manageable.

What did change, or was never in the August pack. The Governor's immunity sentence at the Kautilya conclave. An unhedged import tail whose 12 per cent stress, on teaching numbers, is about Rs 34 crore — larger than the interest sensitivity. A magazine line on the SDF that conflicts with the August resolution and will not be used.

What I will not recommend. Treating the hold as a reason to skip the hedge, or treating an agent-reprinted 11 per cent WACC as an approval.

Covenant check on teaching numbers. Interest cover remains above 4.5 times in the combined rate-and-spread case, against a floor of 3.0. The covenant is not the binding constraint. Gross margin is.

19. Assignment

Write no more than 700 words, due at the next class.

1. Rebuild Exhibit 3 from the weights in the case. Show your WACC for Case D to two decimal places before rounding. State whether you used book or market weights, and why a student who switches to market weights after an equity sell-off can get the sign of the WACC move wrong.
2. Draft the designation memo for the 90-day dollar forward in Section 14. Name the hedged item, the risk, the instrument, and the line that hits profit or loss if effectiveness fails.
3. In one paragraph, answer Malhotra. If a correction in overseas AI valuations might support inflows into India, does Godavari bring the press line forward, hold it, or ignore the tape? Use only the public facts in this case plus the teaching file. Do not invent a rate cut.

20. What a good answer looks like

A good answer does not predict the next MPC vote. It distinguishes the August resolution from the October magazine report, refuses the unverified SDF sentence, and puts the commodity shock next to the interest shock in rupees. It treats Crisil's 50 basis point line as system context. It names an owner for the hedge policy and a date for the second drawdown. It says, in so many words, that an unchanged repo is not an unchanged world.

A weak answer quotes 5.25 per cent three times, declares the cost of capital stable, and recommends approval because the model still clears 16 per cent. That answer could have been written in August. The weekend happened. The weak answer does not show it.

Instructors can close on the series line, which is the control framework rather than a slogan. AI generates the draft sensitivity. Data — the resolution, the named quotation, the hedge report — informs it. Finance measures the interest line and the margin line. Accounting verifies the designation and the cover ratio the auditor will recompute. Human judgement decides whether the tooling is released and the balance is gated.

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21. A note on what this case refuses to invent

Students will ask for the October resolution's exact voting line, the SDF print, and the quarterly CPI path. Those belong in the RBI PDF. They are not in the weekend features used here in a form clean enough to treat as primary. The case therefore stops. A CFO who fills the gap with a plausible number is doing the thing the case is written against. If the October document, when it is posted, confirms the corridor, the footnote updates in a sentence. If it changes the corridor, the board pack's first page is wrong and must be reissued before the tooling release. That reissue is a success of the process, not an embarrassment.

The same restraint applies to the Nifty print. 22,421.95, down 198.5, is furniture on the Economic Times page that carried the Malhotra story on 4 October 2026. It is not a valuation of Godavari, and it is not evidence that Indian equities have "crashed." Malhotra's own description — a fall from high valuations, orderly — is the sentence to pair with the print. Use both, or use neither.

22. Session plan for a 90-minute class

Minutes 0–15. Source sort. Students mark each figure in Exhibit 1 as primary, named commentary, or page furniture. The SDF conflict is the check. Minutes 15–40. Rebuild the WACC and the two rupee sensitivities, interest versus commodity. The instructor should not reveal which is larger until a student computes both. Minutes 40–60. Hedge designation. One group drafts the memo; another group tries to break effectiveness and show the profit-and-loss path. Minutes 60–80. Decision. The class must choose among the three options and name the owner and the date. "Approve because the repo held" is recorded on the board and then struck through. Minutes 80–90. The Talan line. What, exactly, did the agent not see? Close on the series rule: AI generates, data informs, finance measures, accounting verifies, human judgement decides.

Suggested cold call: why is a 50 basis point system buffer not a reason to skip the metal cap? The answer the instructor wants is scale. Crisil is speaking about India Inc. The teaching file's commodity line is larger than its interest line. A buffer for the median firm can coexist with a bad week for one plant.

23. Copyright and classroom use

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